

Electronics Industry Forecasts for Year 2009

Globally, the technology outlook for the new year appears pretty grim, but India paints a rather rosy picture

■ UMA BANSAL

We can't really blame the industry veterans for not wanting to make predictions about 2009.

The world hasn't seen an economic slowdown of this intensity for a long time. And no one knows just how bad things will get. Globally, sales of high-end luxury items are likely to suffer, especially in the consumer electronics space. But will that be the case in India too? Let's hear from the

industry itself.

Global impact of recession

Consumer demand for electronics, from computers to digital cameras, is declining fast amidst the global economic slowdown. Sales of mobile phone will shrink in 2009 at their fastest pace ever as consumers cut spending, a Reuters poll showed, with analysts increasingly concerned about unsold phones piling up in stores. On average, the poll of 36 analysts showed global market volumes shrinking 6.6 per cent this year

(April-December 2008) and 5.7 per cent in the fourth quarter—traditionally the strongest period for the industry due to holiday sales.

Fear and uncertainty are causing many suppliers and consumers to delay purchasing their next handsets. Consumer electronics demand has slumped, triggering the loss of 16,000 jobs at Sony and profit warnings from Samsung Electronics and Texas Instruments Inc.

As a result of this slump in consumer electronics sales, chipmakers

